Circular 3 of 2025

To: **Insurance Council of Zimbabwe (ICZ)**

Zimbabwe Association of Reinsurance Organisations (ZARO)

Insurance Brokers Association of Zimbabwe (IBAZ)

Reinsurance Brokers Association (RBAZ)

Microinsurance Industry Association of Zimbabwe (MIAZ)

Cc: **Principal Officers-All Short-Term Insurance Companies**

Principal Officers-All Reinsurance Companies

Principal Officers-All Insurance and Reinsurance Brokers

Date: 14 February 2025

INVESTMENT GUIDELINES FOR SHORT-TERM INSURERS

1. Further to our Circular 29 of 2024 wherein we requested industry comments on the proposed Investment guidelines, please be advised that the Commission hereby issues revised investment guidelines for short-term insurers.
2. The guidelines have been developed to align with the dynamic macroeconomic environment and ensure the protection of policyholders. These guidelines, therefore, replace the ones issued through Circular 1 of 2013.

3. The Insurance and Pensions Commission will expect visible movements towards compliance. In this respect, compliance will be closely monitored on an ongoing basis.
4. Given the lead time to divest and re-allocate investment, insurers are given up to 31 December 2025 to align their investments and comply with the Guidelines.

5. **Prescribed Limits**

	Type of Investment	New Limit	Current Limit
A	Prescribed Assets	**45%**	35%
B	Properties	**25%**	10%
C	Quoted Investments	**40%**	45%
D	Unquoted Investments	**10%**	5%
E	Money Markets	**50%**	70%
F	Cash	**20%**	20%
G	Other	**5%**	5%

Notes

I. Properties include land and buildings (developed or undeveloped). These must be accompanied by title deeds. To calculate solvency margins, any properties without title deeds should not be included as assets.

II. Quoted Investments include shares that are tradable on the Zimbabwe Stock Exchange (ZSE) or Victoria Falls Stock Exchange (VFX), Real Estate Investment Trusts (REITs) and the Zimbabwe Mercantile Exchange (ZMX).

III. Prescribed Assets are securities issued by central government, local government, quasi-government organisations, any other securities, private projects and REITs that may be accorded prescribed asset status by the Minister from time to time. (See definitions given in the Insurance Act [*Chapter 24:07*] and the Pensions and Provident Funds Act [*Chapter 24:32*])

IV. Unquoted shares are shares in private companies including offshore investments and Unlisted REITs.

V. Cash in any one bank should not exceed 35% of total cash holdings.

VI. (C)+(E) should not exceed 60%.

VII. An insurer should not put more than 10% of its investments in an associate company.

VIII. Other investments include loans to staff, management, shareholders, and directors.

IX. REITs are classified depending on their status whether they have Prescribed Asset status, Quoted or Unquoted.

X. The guideline does not impose caps on insurance and reinsurance-held contract assets as per IFRS 17 as this is a function of the insurer's liabilities.

Yours Sincerely

Muradzikwa

Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSIONS AND PROVIDENT FUNDS